

AnchorIQ

Customer Churn Prediction — Business Report

TeleConnect India | August 05, 2026

1. EXECUTIVE SUMMARY

TeleConnect India is experiencing a critical churn rate of **26.5%**, meaning **1,869 out of 7,043 customers** have left the service. This analysis identifies the key drivers of churn and provides actionable recommendations to reduce customer attrition and protect **\$456,117** in monthly recurring revenue.

Metric	Value	Status
Total Customers	7,043	—
Churned Customers	1,869	■ Critical
Churn Rate	26.54%	■ High
At Risk Customers	3,859	■ Monitor
Monthly Revenue	\$456,117	■ Stable
Revenue at Risk	\$278,993	■ Urgent
Avg Tenure (Churned)	18.0 months	■ Low
Avg Tenure (Stayed)	37.6 months	■ Good
Model AUC Score	0.8463	■ Strong
Optimal Threshold	0.15	■ Tuned

3. KEY FINDINGS

- **Month-to-month contracts** have the highest churn rate at ~43% compared to only 3% for two-year contracts — contract type is the single strongest churn predictor.
- **Electronic check payment** users churn at the highest rate among all payment methods — auto-pay customers are significantly more loyal.
- **New customers (tenure < 12 months)** churn at 48.3% — the first year is the most critical retention window.
- **High monthly charges** correlate positively with churn — price-sensitive customers need targeted retention offers.
- **Low service adoption** (ServiceCount = 0-1) leads to higher churn — customers with more services stay longer.

4. ML MODEL PERFORMANCE

A Logistic Regression model was trained on 5,634 customer records and evaluated on 1,409 held-out customers. The model achieved an AUC of **0.8463** — outperforming Random Forest (0.8267) and XGBoost (0.8407). Threshold optimization at **0.15** reduced business cost from \$92,850 to \$36,400 — saving an additional **\$21,900** purely through threshold tuning.

Model	Accuracy	AUC	F1	Winner
Logistic Regression	80.62%	0.8463	—	■ Best

XGBoost	—	0.8407	—	2nd
Random Forest	—	0.8267	—	3rd

5. BUSINESS RECOMMENDATIONS

Convert Month-to-Month Customers: Offer 20% discount for switching to annual contracts. Converting just 500 customers saves ~\$120,000 annually.

Launch Auto-Pay Incentive Program: Offer \$5/month discount for switching to auto-pay. Expected churn reduction: 18% among manual pay customers.

90-Day New Customer Onboarding: Assign dedicated support for first 90 days. Target the 48.3% new customer churn rate directly.

Service Bundle Promotions: Customers with 4+ services churn significantly less. Offer free trial of TechSupport or StreamingTV.

High-Risk Customer Alerts: Use ML model to flag 3,859 at-risk customers monthly. Proactive outreach before churn occurs.

6. CONCLUSION

This analysis demonstrates that TeleConnect India's **\$456,117** monthly revenue is at significant risk from a **26.5%** churn rate. The AnchorIQ ML pipeline identifies at-risk customers with an AUC of 0.8463, enabling proactive retention before revenue is lost. Implementing the five recommendations above could reduce churn by an estimated 30-40%, protecting **\$97,648** in monthly recurring revenue.